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MUCHANGI PATRICK & ASSOCIATES

ADVOCATES OF THE HIGH COURT OF KENYA · DIGITAL TRUST ASSURANCE

EXECUTIVE BRIEF — NO. 003

Debt Collection or *Data Breach?*

*Digital lending and credit data governance for SACCO
Boards — mobile loans, credit scoring, debt recovery and
third-party lending platforms, measured against a live and
expensive enforcement environment.*

PREPARED FOR

Boards & CEOs of SACCOs
Offering Digital or Mobile Credit

SECTOR

Fintech & Credit Governance

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In This Executive Brief

Exec. Executive Summary

— Why This Matters

01 Loan Application & Onboarding Data

02 Consent & Credit Scoring

03 Debt Collection & Recovery Conduct

04 Credit Reference Bureau Sharing

05 Third-Party Lending Platforms

06 Board Oversight & Breach Readiness

— Questions Worth Asking Before the Regulator Does

— About Phoenix Digital Trust Assurance

— Continue the Conversation

This Executive Brief forms part of the Muchangi Patrick & Associates Advocates Knowledge Centre — published for educational and informational purposes as a contribution to Board-level governance discussion.

Debt Collection or Data Breach?

Digital lending and credit data governance for SACCO Boards — mobile loans, credit scoring, debt recovery and third-party lending platforms, measured against a live and expensive enforcement environment.

EXECUTIVE SUMMARY

Digital and mobile lending have become a natural extension of the SACCO model, layering instant, app-based or USSD credit onto traditional share-and-savings lending — improving member access to credit, but also importing a risk profile that has already proven expensive elsewhere in Kenya's credit market.

The Office of the Data Protection Commissioner has issued administrative penalties against multiple licensed digital lenders — in the region of KES 3 to 5 million — specifically for harvesting borrowers' phone contacts and using that data to pressure repayment, conduct the Central Bank of Kenya's Digital Credit Providers Regulations, 2022 separately prohibit outright.

This Executive Brief maps a SACCO's digital lending lifecycle — from origination through scoring to recovery — against what enforcement to date has already shown regulators will act on.

WHY THIS MATTERS

The enforcement record is no longer hypothetical.

Live Enforcement

ODPC has already fined multiple licensed digital lenders millions of shillings for contact-list harvesting.

Three Regulators, One Loan Book

The DPA, the CBK's Digital Credit Providers Regulations and SASRA oversight now apply simultaneously.

The 72-Hour Clock

A breach must be reported to the ODPC within 72 hours of the SACCO becoming aware of it.

01

Loan Application & Onboarding Data

Whether app-based origination collects only what is necessary — or defaults to contacts, SMS and gallery access it does not need.

02

Consent & Credit Scoring

Whether credit-scoring use of a borrower's data is treated as a distinct purpose requiring its own consent step.

03

Debt Collection & Recovery Conduct

The single area where Kenyan regulators have taken the most public enforcement action across the digital credit market.

04

Credit Reference Bureau Sharing

Accuracy, proportionality, and a borrower's practical ability to dispute or correct a listing.

05

Third-Party Lending Platforms

Data processing agreements, hosting location and breach obligations for every scoring or lending vendor in the chain.

06

Board Oversight & Breach Readiness

Whether the Board could produce evidence of credit data governance within 72 hours of an incident.

QUESTIONS WORTH ASKING BEFORE THE REGULATOR DOES

Eight questions to put to management this quarter.

- | | |
|----|---|
| 01 | What permissions does our lending app or platform request, and are all of them necessary? |
| 02 | Is there a distinct consent step for credit-scoring use of a borrower's data? |
| 03 | Do we have a Board-approved policy governing recovery communications? |
| 04 | Have we ever contacted a borrower's phone contacts, guarantors or employer without a clear legal basis? |
| 05 | Is there a signed data processing agreement with every lending or scoring vendor we use? |
| 06 | Do we know where our borrowers' data is actually hosted? |
| 07 | Could we produce evidence of our credit data governance within 72 hours of a breach? |
| 08 | Has the Board received a report on digital lending data governance in the past twelve months? |

ABOUT

Phoenix Digital Trust Assurance

Phoenix Digital Trust Assurance is an independent governance methodology developed by Muchangi Patrick & Associates Advocates to assist Boards and executive leadership in strengthening organisational governance across privacy, cybersecurity, information governance, technology governance, artificial intelligence, third-party risk and continuous improvement. The methodology promotes structured governance oversight rather than reactive compliance.

Muchangi Patrick & Associates Advocates

A Kenyan law firm specialising in Data Protection, Privacy, Digital Governance and Emerging Technology Law. Through its Knowledge Centre and Phoenix Digital Trust Assurance initiative, the firm publishes practical governance resources designed to assist Boards and executive leadership in navigating the evolving digital economy.

CONTINUE THE CONVERSATION

Book a Complimentary 10-Minute Digital Trust Gap Analysis

If this Executive Brief raises governance questions relevant to your organisation, we would be pleased to discuss them with you — current governance priorities, privacy and cybersecurity oversight, Digital Trust maturity, and practical next steps.

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